PROPOSED SECURITISATION

THE LONDON SPIRE

DEVELOPMENT MORTGAGE-BACKED NOTES

ILLUSTRATIVE OFFERING MEMORANDUM

A proposed single-asset development CMBS for a 72-storey, ultra-prime residential tower concept in London.



TOTAL NOTE SIZE

£800m

BASE-CASE GDV

£1.616bn

EXTERNAL PLACEMENT

£760m

CONFIDENTIAL | DISCUSSION DRAFT | 1 NOVEMBER 2026

Concept only. No site, planning consent, valuation, issuer, lender, rating or offer currently exists. All financial data are assumptions for illustration, not market quotes or forecasts.

01 / IMPORTANT INFORMATION

Transaction at a glance

A prospectus-style discussion document for a proposed sterling-denominated, single-loan securitisation. It is not an offer document and must not be used as the basis of an investment decision.

Critical status notice. “The London Spire” is a fictional development concept created for design exploration. No site has been identified or acquired; no planning permission, building-control approval, valuation, cost plan, contractor appointment, borrower, issuer or arranger has been verified or appointed. This document is a hypothetical structure and contains no actual securities offer.

INDICATIVE TRANSACTION FACTS

Item	Illustrative assumption
Transaction	London Spire Development CMBS 2027-1 (proposed)
Underlying exposure	One senior secured development mortgage loan to a ring-fenced project company
Project concept	72-storey London residential tower; 360 large-format apartments; ancillary amenities
Total note principal	£800 million
Notes offered to third-party investors	£760 million; 5% vertical risk retention assumed
Sponsor equity	£400 million
Initial loan / cost	66.7% of illustrative total project cost
Loan / gross development value	49.5% of illustrative base-case GDV
Expected life / legal final	Approximately 60-72 months / 84 months, subject to final terms
Currency / rate basis	GBP; floating-rate notes referencing compounded SONIA plus margin
Rating / STS status	Unrated; no STS designation is assumed

How to read this document. The financial model, tranche sizes, pricing margins, project scope and timeline are constructed assumptions, not appraised values or third-party estimates. “Prospectus” is used descriptively: this draft is not an FCA-approved prospectus and is not intended to satisfy statutory disclosure requirements.

02 / EXECUTIVE SUMMARY

Financing the project through tranching

The proposed structure converts a single development mortgage loan into senior, mezzanine and junior notes. Investor repayment depends principally on the completed asset, unit-sale proceeds and the borrower's ability to meet the secured loan.

NOTE ISSUANCE	BASE GDV	INITIAL LTV	RETENTION
£800m	£1.616bn	49.5%	5.0%
£760m indicative external placement	Illustrative end-value assumption	Notes / gross development value	Illustrative vertical slice

INVESTMENT PROPOSITION

- Defined collateral. A first-ranking legal mortgage over the site and completed development, supported by share security, debentures, account controls, insurance assignments and project-document security, subject to title and enforceability diligence.
- Meaningful sponsor capital. The base case assumes £400m of equity and £800m of debt against £1.20bn of total uses. The sponsor is intended to absorb cost overruns before noteholders, supported by enforceable equity funding obligations.
- Tranche subordination. Class A benefits from £200m of Class B and C notes ranking below it; Class B benefits from £50m of Class C subordination. Class C is the first-loss note class.
- Cash control. All development-loan drawings, sales receipts, reserve accounts and permitted payments are channelled through controlled accounts and a documented waterfall.

WHY STRUCTURE IT THIS WAY

A conventional residential mortgage-backed security (RMBS) would normally be backed by mortgages already originated to homebuyers. Those loans do not exist before a new tower is built and units are sold.

For the construction period, the technically accurate instrument is a development-loan securitisation / single-asset CMBS. Following completion, owner-occupier mortgages originated by lenders to purchasers could form part of a separate RMBS take-out, but that is a distinct transaction.

Key trade-off: construction risk, planning risk and single-asset concentration make this materially riskier than a diversified pool of seasoned residential mortgages.

WHAT MUST BE TRUE BEFORE LAUNCH

- An identifiable, controlled site with clean title, planning strategy, independent valuation and a credible route to building-control approval.
- A fixed or appropriately hedged construction budget, independent quantity-surveyor cost-to-complete monitoring and fully committed sponsor equity.
- An independent demand and pricing study supporting the assumed £1.616bn GDV and unit absorption profile.
- Complete legal opinions, final transaction documents, investor disclosure, rating analysis (if sought) and regulatory classification.

03 / DEVELOPMENT CONCEPT

A super-prime residential landmark

The concept uses an Anglo-futurist architectural language: neo-Georgian massing and stone piers, large high-performance glazing, bronze-toned metalwork, slender structural lines and generous internal and external balconies.

ILLUSTRATIVE PROJECT PARAMETERS

Parameter	Assumption
Height / form	72 storeys; slender mixed-use podium and tower
Residential programme	360 apartments; predominantly 3-6 bedrooms
Apartment size	Concept range 2,000-8,000 sq ft; 2,100 sq ft weighted average
Net residential sale area	Approximately 756,000 sq ft
Amenities	Sky gardens, wellness, pool, gym, lounge and private dining
Design language	Neo-Georgian stone, strong glass, bronze/metal detailing
Site / planning	To be identified; no consent or planning status assumed

DEVELOPMENT WORKSTREAMS

- Site and planning: land control, title, transport/access, utilities, environmental surveys, planning strategy and consultation.
- Design and engineering: wind, façade, vertical transportation, fire engineering, structural movement, acoustic and energy strategies.
- Procurement: main contractor selection, package procurement, warranties, parent guarantees and performance security.
- Delivery: substructure, core, superstructure, façade, MEP, fit-out, commissioning, testing and completion certification.
- Sales and operation: phased apartment release, service-charge structure, concierge/amenity management and handover.



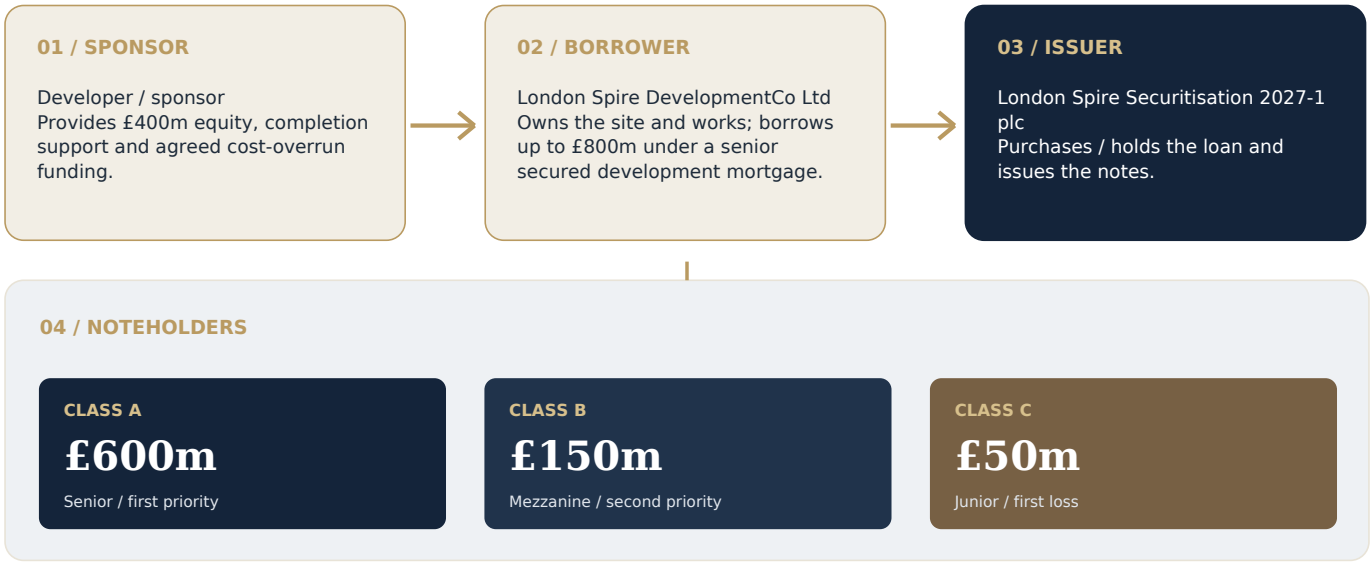
CONCEPT RENDERING / NOT A VERIFIED SCHEME

Concept imagery. The tower image is an AI-generated visual for the fictional London Spire concept. It is not a planning drawing, verified London site view, architectural design, measured survey or evidence of development consent.

04 / HOW THE SECURITISATION WORKS

Proposed legal and cash-flow architecture

One development mortgage loan is originated to the project company and transferred to a bankruptcy-remote securitisation issuer. The issuer finances acquisition of that loan by issuing three classes of notes.



CORE MECHANICS

- Loan origination. A bank or specialist lender advances a committed development facility to the Borrower against first-ranking mortgage security and supporting collateral.
- Loan transfer. The loan and related rights are sold or assigned to the Issuer, subject to true-sale analysis, perfection, consent and insolvency-remoteness opinions.
- Note issuance. The Issuer issues senior, mezzanine and junior notes. Third-party investors subscribe £760m; the retainer holds a 5% vertical slice (£40m) on an ongoing basis.
- Servicing. A qualified servicer administers loan drawdowns, interest, covenants, receipts, enforcement and investor reporting. A backup servicer is appointed or documented.

IMPORTANT DISTINCTION

The notes are not backed by a pool of mortgages granted to household purchasers. They are backed by the development mortgage loan, which is secured on one project. This is therefore a single-asset development CMBS / loan securitisation.

Once units are completed and sold, purchasers may take residential mortgages from third-party lenders. Those lenders could later securitise eligible mortgage loans in a separate RMBS transaction. That later RMBS is not part of this issuance.

05 / FUNDING PLAN

£1.20bn illustrative project capitalisation

The project is modelled with two-thirds debt and one-third sponsor equity. The securitisation notes total £800m, of which £760m is placed with external investors and £40m is retained to illustrate the 5% vertical risk-retention method.

SOURCES OF FUNDS (£M)

Source	£m	%
External note subscriptions	760	63.3%
Retained notes (5% vertical slice)	40	3.3%
Sponsor equity / subordinated capital	400	33.3%
TOTAL SOURCES	1,200	100.0%

USES OF FUNDS (£M)

Use	£m	%
Land and acquisition	180	15.0%
Enabling, utilities, remediation	40	3.3%
Core and shell construction	600	50.0%
Interior fit-out and amenities	95	7.9%
Design, professional and planning	75	6.3%
Contingency	65	5.4%
Sales, legal and insurance	35	2.9%
Finance, issuance and interest reserve	110	9.2%
TOTAL USES	1,200	100.0%

ILLUSTRATIVE DEBT AND EQUITY PROFILE



DEBT SIZING METRICS

Total notes / project cost	**66.7%**
Total notes / base GDV	**49.5%**
Senior Class A / base GDV	**37.1%**
Gross GDV / note principal	**2.02x**

CAPITAL CONDITIONS

- All £400m sponsor equity funded ahead of, or pari passu with, the relevant debt draws.
- £65m contingency ring-fenced and monitored by the independent quantity surveyor.
- Any cost-to-complete deficit funded by sponsor before further securitisation advances.
- No distributions or leakage while notes are outstanding, except permitted payments.

Funding caveat. Sources and uses are not supported by a quantity-surveyor report, title review, contractor tender, tax opinion or independent valuation. The £110m finance/issuance budget is a placeholder, including an assumed interest and liquidity reserve; it must be recalculated using the final draw profile, hedge, coupon and timetable.

06 / PROPOSED NOTE TERMS

Three classes, one secured development loan

Indicative commercial terms only. Final note documentation, cash-flow modelling, tax structuring and legal opinions would determine the actual rights of each class.

Term	Class A	Class B	Class C
Principal amount	£600m	£150m	£50m
Share of total notes	75.00%	18.75%	6.25%
External investor amount*	£570m	£142.5m	£47.5m
Retained vertical slice*	£30m	£7.5m	£2.5m
Indicative spread	SONIA + 300bp	SONIA + 525bp	SONIA + 900bp
Payment priority	1st / senior	2nd / mezzanine	3rd / junior
Credit support	£200m subordinate notes	£50m subordinate notes	First-loss exposure
Target profile	Lower relative risk	Intermediate risk	Highest risk
Expected rating	Not rated	Not rated	Not rated
Final maturity	84 months	84 months	84 months
Extension	Up to 12 months, subject to conditions and final terms	Same	Same
Interest basis	Floating; compounded SONIA in arrears plus margin; quarterly	Same	Same
Currency	GBP	GBP	GBP

* External/retained amounts assume a 5% vertical slice of each tranche, equating to £40m of the £800m total issue. The proposed retainer must satisfy the applicable UK risk-retention rules on an ongoing basis and must not hedge away the retained economic interest. Exact compliance mechanics must be confirmed by counsel.

PROPOSED INVESTOR PROTECTIONS

- Sequential principal waterfall: principal is applied to Class A until repaid, then Class B, then Class C, subject to permitted triggers and final documents.
- Loss allocation: losses are allocated in reverse order of priority, first to Class C, then Class B, then Class A, subject to transaction documents and any reserve or support mechanism.
- Cash reserve: a controlled liquidity/interest reserve, sized to cover agreed periods of senior expenses and note interest under downside assumptions.
- Reporting: quarterly investor reports with drawdown data, budget-to-complete, sales, unit reservations, valuations, interest accruals, covenant tests and material events.
- Events of default: non-payment, insolvency, invalidity or loss of security, unauthorised disposals, material covenant breach and failure to meet agreed project milestones.

07 / COLLATERAL AND PROTECTIONS

Project security and structural protections

The strength of a development CMBS depends on enforceable control of the land, project documents and accounts, as well as an executable plan to complete or sell the asset following default.

PROPOSED SECURITY PACKAGE

- First legal mortgage: over freehold/leasehold site and all completed works, subject to title, priority and registration.
- All-assets debenture: fixed and floating security over relevant assets, rights, receivables and undertaking of the Borrower.
- Share pledge: over all shares in the Borrower and any intermediate property-holding SPV.
- Account security: controlled project, reserve and sale-proceeds accounts with account-bank acknowledgements.
- Contract rights: assignment/security over construction contracts, professional appointments, warranties, guarantees and material project agreements.
- Insurance and proceeds: assignment of property, construction, delay-in-start-up and other required insurance proceeds.

STRUCTURAL PROTECTIONS

- Independent monitoring surveyor: certifies monthly progress, cost-to-complete, contingency use and payment applications.
- Valuation controls: independent RICS valuation at entry, regular revaluations and event-driven updates.
- Completion support: sponsor equity commitment and agreed cost-overrun undertaking, supported by evidence of funding capacity.
- Hedge and reserve: interest-rate cap/swap policy, liquidity reserve and cash-trap mechanics.
- Disposal controls: no material asset sale, new debt, related-party payment or security grant without consent.
- Enforcement plan: step-in rights, receiver appointment, contractor continuity and sale/finishing strategy.

INDICATIVE COVENANT FRAMEWORK

Covenant / test	Illustrative level or requirement	Testing / response
Loan-to-cost	Maximum 70% of eligible total cost	At each draw and quarterly; cure by sponsor equity
Loan-to-GDV	Maximum 60% on current independent valuation	At entry and quarterly; cash trap / paydown / cure
Cost-to-complete	Committed undrawn facility + sponsor cash >= remaining cost	Monthly QS certificate; stop-draw if deficient
Contingency	Initial £65m; minimum balance to be set by QS risk review	No use outside permitted cost overrun categories
Pre-sales	No pre-sales assumed in base model; minimum threshold may be added	Phase gate before full draw / sales release
Distributions	Prohibited while notes outstanding, save permitted amounts	Cash trap and event of default if breached

Key caveat. A first-ranking mortgage is only valuable to the extent the Borrower owns a marketable interest in the site, the security is properly perfected, prior interests are discharged or subordinated, and the property can be realised. There is currently no site or title to diligence.

08 / BASE-CASE ECONOMICS

Illustrative development appraisal

The following is a scenario model constructed solely to test financing proportions. No independent valuation, market study, cost plan or quantity-surveyor report has been obtained.

Base-case metric	Assumption / calculation	£m
Residential sales	756,000 sq ft x £2,100 / sq ft	1,587.6
Ancillary / other realisations	Parking, commercial and other permitted proceeds	28.4
Gross development value (GDV)	Residential plus ancillary realisations	1,616.0
Total project cost	All-in illustrative costs incl. finance and contingency	1,200.0
Surplus before tax and residual adjustments	GDV less total project cost	416.0
Gross development margin	Surplus / GDV	25.7%
Profit on cost	Surplus / total project cost	34.7%
Note principal / GDV	£800m / £1,616m	49.5%
GDV / note principal	£1,616m / £800m	2.02x

GDV SENSITIVITY AND PRINCIPAL COVER

GDV movement	Stressed GDV (£m)	Net proceeds after 3% costs (£m)	Cover of £800m notes
Base	1,616.0	1,567.5	1.96x
-10%	1,454.4	1,410.8	1.76x
-20%	1,292.8	1,254.0	1.57x
-30%	1,131.2	1,097.3	1.37x
-40%	969.6	940.5	1.18x

NET REALISATION COVER (BEFORE NOTE INTEREST AND ENFORCEMENT COSTS)



Interpretation limit. Sensitivities show gross realisation cover of initial note principal after an assumed 3% disposal cost only. They do not deduct accrued note interest, enforcement expense, senior costs, taxes, cost overruns, completion funding, title defects or time-value effects. They are not probability-weighted forecasts and do not establish noteholder recovery.

09 / CASH MANAGEMENT AND REPAYMENT

Sales proceeds are the primary exit

The base case does not rely on a refinancing market remaining open at maturity. It assumes unit-by-unit sales following completion, with all net receipts paid through controlled accounts and the note waterfall.

ILLUSTRATIVE PAYMENT WATERFALL

1. **Senior expenses and taxes**
   Trustee, security trustee, servicer, account bank, hedge and other permitted senior costs.
2. **Class A interest**
   Current interest and permitted senior arrears to Class A.
3. **Class B interest**
   Interest to Class B after Class A and senior expenses.
4. **Class C interest**
   Interest to Class C after A and B, subject to available funds.
5. **Reserve and cure accounts**
   Replenish liquidity, insurance, tax and other required reserves.
6. **Principal repayment**
   Sequential principal: Class A, then Class B, then Class C.
7. **Residual surplus**
   Only after full repayment and release tests; distributed to Borrower / equity.

REPAYMENT STRATEGY

Phase	Timing assumption	Cash / credit action
Pre-construction	Months 0-12	Site acquisition, planning, design, procurement; controlled initial draws only after conditions precedent
Construction	Months 12-48	Staged drawdowns against certified work; interest reserve and hedge; monthly QS monitoring
Practical completion	Months 48-54	Commissioning, testing, building safety completion route and handover; no occupation before required approvals
Unit sales / deleveraging	Months 54-84; 30-month sell-down (12 units/month average)	Net sale proceeds swept through waterfall; release prices and partial discharges tightly controlled
Final maturity	Month 84; conditional extension to month 96	Remaining assets sold or refinanced; enforcement if repayment tests are not satisfied

Residual refinancing risk. If sales absorb more slowly than expected, the issuer may need to extend the transaction, enforce security, sell the unfinished/completed asset or refinance. None of those routes is guaranteed. A refinancing is a contingency, not the sole base-case repayment source.

10 / EXECUTION AND UK REGULATORY PATH

Higher-risk building: delivery and approvals

The concept is far above the height/storey thresholds for higher-risk residential buildings in England. The Building Safety Regulator route must be treated as a critical-path condition, not an administrative afterthought.

GATEWAY 1

Planning-stage fire safety matters must be addressed as part of the planning process.

GATEWAY 2

Building-control approval from the Building Safety Regulator is required before relevant building work starts.

GATEWAY 3

Completion checks and a completion certificate are required before the building can be occupied.

CRITICAL-PATH WORKPLAN

Workstream	Required evidence / control	Financing implication
Land and planning	Site control, title, planning strategy, relevant consent and conditions	No acquisition draw until title/valuation and planning risk are approved
Design freeze	Fire strategy, façade, structure, MEP, lifts, evacuation and maintainability	Material design changes require cost, programme and compliance review
BSR Gateway 2	Building-control application, full design information, compliance case and approval	No construction draw for relevant works before approval and satisfaction of conditions
Construction	Competent principal contractor, golden-thread information, inspection records, change control	Monthly drawdowns on certified work; stop-draw triggers for serious non-compliance
BSR Gateway 3	As-built evidence, testing/commissioning, completion application and certificate	No assumption of occupancy cash flow before certificate and registration conditions met
Occupation / sales	Registration of higher-risk building before occupation; lease and management documentation	Unit releases and final sales closings conditional on legal and regulatory readiness

Official framework. The Building Safety Act 2022 defines higher-risk buildings in England to include buildings at least 18 metres or at least 7 storeys and containing at least two residential units. Government guidance confirms the BSR application, completion-certificate and pre-occupation registration steps. [5]-[7]

11 / RISK FACTORS

Risks are concentrated and may be severe

The notes are exposed to a single development and do not benefit from the diversification of a granular mortgage portfolio. Prospective investors must assess the whole risk profile, including the possibility of total loss for junior notes and principal loss for senior notes.

- Planning and site risk. No site, title, planning consent, access right or utility capacity has been identified. Failure to secure these rights could prevent the scheme from proceeding.
- Construction and cost risk. Tall-building structural, façade, lift, MEP and fire-safety packages are complex. Contractor failure, inflation, labour shortages, defects, delay or redesign may exhaust contingency.
- Building-safety risk. BSR approval, change control, fire safety, structural safety and completion certification are critical. Refusal or delay can prevent occupation and sales completion.
- Valuation risk. The £1.616bn GDV is an assumed value. Prime residential prices, demand, financing availability and comparable transactions may differ materially.
- Absorption and liquidity risk. Selling 360 large-format apartments may take longer than assumed. A single tower is a concentrated and illiquid asset.
- Interest-rate and basis risk. Floating-rate notes and the development loan create exposure to SONIA, hedge costs, reset dates, counterparty risk and reserve adequacy.
- Refinancing and maturity risk. Slow sales, disputes, incomplete works or valuation declines may leave insufficient proceeds at expected maturity.
- Security and enforcement risk. Security may be challenged, delayed, subordinated or difficult to realise. Enforcement during construction may require additional money to preserve value.
- Concentration / borrower risk. One borrower, one loan, one site, one contractor strategy and one local residential market drive performance.
- Legal, tax and operational risk. Insolvency remoteness, true sale, tax treatment, lease structure, service-charge arrangements, insurance and servicer continuity require specialist review.

Loss hierarchy. Class C is designed to absorb credit losses first, followed by Class B and then Class A. Subordination is not a guarantee. If net collateral proceeds, after costs and prior-ranking claims, are insufficient, any class can suffer delayed payment or principal loss. The notes are not bank deposits and are not covered by the Financial Services Compensation Scheme.

12 / LEGAL, REGULATORY AND INVESTOR MATTERS

Final structure requires specialist opinions

The proposed transaction would need to be documented and distributed by appropriately authorised or exempt persons. This discussion draft is not a regulatory filing or a substitute for final offering documentation.

UK SECURITISATION FRAMEWORK

The FCA states that the current firm-facing securitisation requirements are principally set out in the FCA and PRA rulebooks, including the FCA Securitisation Sourcebook (SECN), with the Securitisation Regulations 2024 providing the domestic statutory framework. The SECN rules took effect on 1 November 2024. [1]

RISK RETENTION

The proposed model assumes the originator/sponsor retains an ongoing 5% material net economic interest using a vertical slice of at least 5% of each class. The retainer, method, funding and non-hedging requirements must be confirmed under SECN 5. [2]

INVESTOR DUE DILIGENCE AND REPORTING

Institutional investors have applicable pre-investment and ongoing due-diligence requirements. The originator, sponsor and issuer must provide prescribed information and investor reporting; the FCA identifies templates for commercial real-estate exposures and non-ABCP investor reports. [1], [3]

PROSPECTUS / PUBLIC-OFFER REGIME

The UK Public Offers and Admissions to Trading Regulations 2024 regime came into force on 19 January 2026, replacing the former UK Prospectus Regulation framework. Whether an FCA-approved prospectus, admission document, public-offer platform or exemption applies depends on the offer route and venue and must be assessed by UK counsel. [4]

STS DESIGNATION

No Simple, Transparent and Standardised (STS) designation is assumed. A bespoke, single-development-loan transaction should not be marketed as STS unless every applicable criterion is independently satisfied and the required notification process is completed.

FINANCIAL PROMOTIONS AND DISTRIBUTION

The final marketing route, recipient categories, transfer restrictions and any section 21 FSMA approval or exemption must be assessed. The proposed initial distribution is to professional / institutional investors only; retail distribution is not contemplated in this draft.

TAX, ACCOUNTING AND INSOLVENCY

Obtain UK tax advice on interest deductibility, withholding tax, VAT, stamp taxes and transfer/perfection costs; accounting advice on consolidation and derecognition; and legal opinions on true sale, limited recourse, non-petition, separateness and insolvency remoteness.

Not FCA approved. This document is not an FCA-approved prospectus, does not constitute an offer to sell or an invitation to subscribe for securities, and has not been prepared to meet any statutory prospectus, listing, disclosure or financial-promotion requirements. Any actual transaction must be launched only after legal, regulatory, tax, accounting and independent verification work is complete.

13 / LAUNCH REQUIREMENTS

From concept to an investable transaction

The following workstreams should be completed before the Issuer enters into the securitisation or securities are marketed to investors.

Workstream	Minimum evidence required before close
Site and title	Identified site; executed acquisition/option; title report; survey; searches; priority and discharge of prior security
Planning	Planning strategy and consent position; conditions schedule; transport, utility and environmental reports
Valuation and demand	Independent RICS valuation; sales comparables; buyer research; pricing and absorption study; independent GDV sensitivity
Technical and cost	Employer's requirements; design pack; cost plan; QS report; construction programme; contingency adequacy; cost-to-complete model
Contractor and delivery	Due diligence on main contractor and key packages; contract risk review; bonds, guarantees, warranties and step-in rights
Building safety	Fire and structural strategies; HRB assessment; BSR route map; Gateway 2 submission strategy; golden-thread and change-control plan
Funding and hedge	Sponsor equity evidence; facility documentation; reserve sizing; hedge terms; cash-flow and stress testing
Legal / regulatory	Issuer and security structure; opinions; risk retention; investor disclosure; prospectus / offer route; transfer restrictions
Operational readiness	Servicer and backup arrangements; account bank; trustee; registrar; paying agent; investor reporting and data room

REFERENCE SOURCES

[1] FCA - Securitisation framework and disclosure — fca.org.uk

Current FCA overview; SECN reporting templates and public/private securitisation information. Page updated 27 March 2026.

[2] FCA Handbook - SECN 5.2, risk retention — handbook.fca.org.uk

Includes the ongoing 5% material net economic interest requirement and permitted retention methods. Rules displayed as at 1 November 2026.

[3] FCA Handbook - SECN 4, due diligence — handbook.fca.org.uk

Institutional-investor due diligence requirements. Rules displayed as at 1 November 2026.

[4] FCA PS25/9 - UK public offers and admissions regime — fca.org.uk

Confirms the new UK regime came into force on 19 January 2026.

[5] Building Safety Act 2022, section 65 — legislation.gov.uk

Definition of higher-risk building for the relevant regime in England.

[6] GOV.UK - Higher-risk building control applications — gov.uk

Building Safety Regulator application and process guidance; updated 1 October 2026.

[7] GOV.UK - Applying for a completion certificate — gov.uk

Completion certificate and registration before occupation guidance.

Document status and reliance. Prepared 1 November 2026 for concept discussion only. External law and regulatory references are general summaries and may change; transaction counsel must verify the law in force at issuance. No person may rely on this document as valuation, investment, legal, tax, accounting, engineering, planning or lending advice.

14 / DEFINITIONS

A compact glossary

Terms are used in their conventional transaction sense, subject to final definitions in the executed documents.

Term	Meaning in this discussion draft
CMBS	Commercial mortgage-backed securitisation; here, notes backed by a loan secured on a single development asset.
RMBS	Residential mortgage-backed securitisation; generally notes backed by a pool of residential mortgage loans to households.
SSPE / Issuer	Securitisation special purpose entity that issues notes and holds the securitised loan and related security.
GDV	Gross development value: assumed gross realisation value of the completed scheme, before agreed disposal deductions.
LTV	Loan-to-value: note principal divided by the selected valuation measure. The basis must be defined in final documents.
LTC	Loan-to-cost: loan principal divided by eligible project cost. The eligible-cost definition must be agreed.
SONIA	Sterling Overnight Index Average, used here as the reference rate for floating-rate note interest.
Vertical retention	Risk-retention method under which the retainer keeps at least 5% of the nominal value of each tranche, subject to applicable rules.
Gateway 2 / 3	Building Safety Regulator building-control and completion stages for higher-risk buildings in England.
Cost-to-complete	Remaining committed funding compared with independently certified remaining project costs.

FINAL CAUTION

This is an illustrative financial model, not a live security. The London Spire has no verified site, sponsor, planning permission, building-control approval, valuation, cost plan, construction contract, borrower, issuer, originator, servicer, arranger, trustee, credit rating or investor commitment as at the date of this document. The 72-storey / 360-apartment concept, £1.20bn project budget, £1.616bn GDV, £800m note structure, tranche spreads and all projected metrics are hypothetical. Actual outcomes could differ materially and investors could lose some or all of their investment.

PROPOSED TRANSACTION IDENTITY

Proposed Issuer	London Spire Securitisation 2027-1 plc (name subject to incorporation and legal review)
Proposed Borrower	London Spire DevelopmentCo Ltd (to be formed / appointed)
Proposed notes	London Spire Development CMBS 2027-1, Classes A, B and C
Document date	1 November 2026
Status	Confidential, non-binding, illustrative discussion draft